



Sector Preview | Vietnam Banking Sector

DRIVING THROUGH CROSSWINDS

For publication | Date of issue: 10 May 2024

A Series of Publication by
Market Research and Consulting Division, FiinGroup

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Credit growth

Credit Growth in 2024: Anticipating a recovery after a prolonged adjustment

Figure 1: Systemwide YTD credit growth

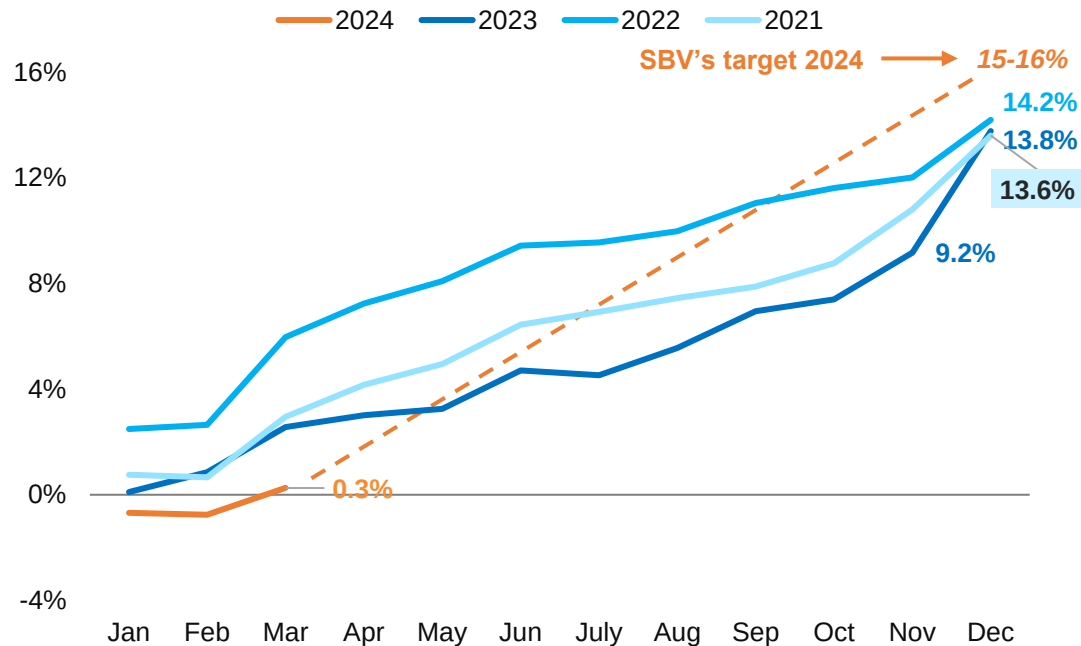
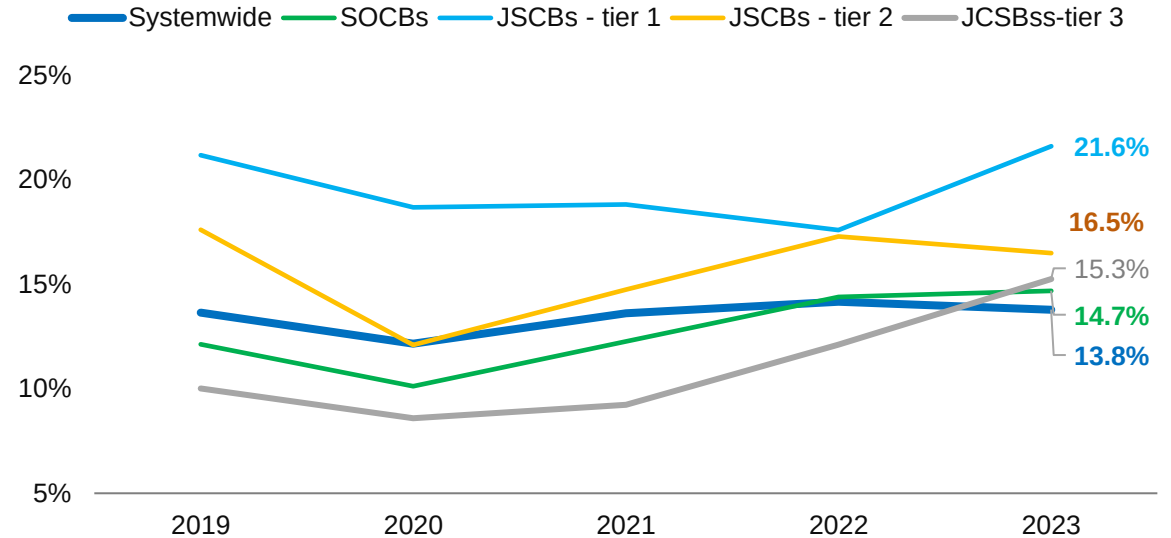


Figure 2: Total outstanding credit (VNDtrn) & YoY growth, 2019 - 2023



Note: SOCBs include VCB, BIDV, and CTG // JSCBs. Tier 1 banks have a total asset exceeding VND 300trn in 2023. JSCB - tier 2 : Total assets VND 100-300trn // JSCBs - tier 3: total assets < VND 100trn

- Vietnam saw a notable downturn in credit growth driven by deceleration in labour-intensive sectors, especially those tied to export-oriented manufacturing. Credit expansion was persistently sluggish throughout 11 months of 2023 before witnessing a sudden surge (about VND550trn equivalent to 4.2% added in the closing month), mainly from real estate and construction sectors. Credit performance varied among different groups of banks in which Tier 1 joint stock commercial banks (such as MBBank, Techcombank, etc.) led the growth. In contrast, state-owned commercial banks took a more cautious stance due to concerns about declining credit quality among borrowers.
- As 2024 began, the State Bank of Vietnam targeted 15-16% of credit expansion to facilitate economic recovery, yet this seems challenging given a minimal increase of 0.26% in the first quarter. The recovery will be more evident in the second half of the year, supported by globally relaxed monetary policies and a domestic environment with lower interest rates, stronger export and import growth and improved consumer demand, contributing to a more positive growth outlook compared to 2023.

Earnings quality | Income structure and growth

The banking sector experienced substantial earnings volatility in both credit and non-credit segments in 2023

Figure 3: Total operating income by segments of commercial banks

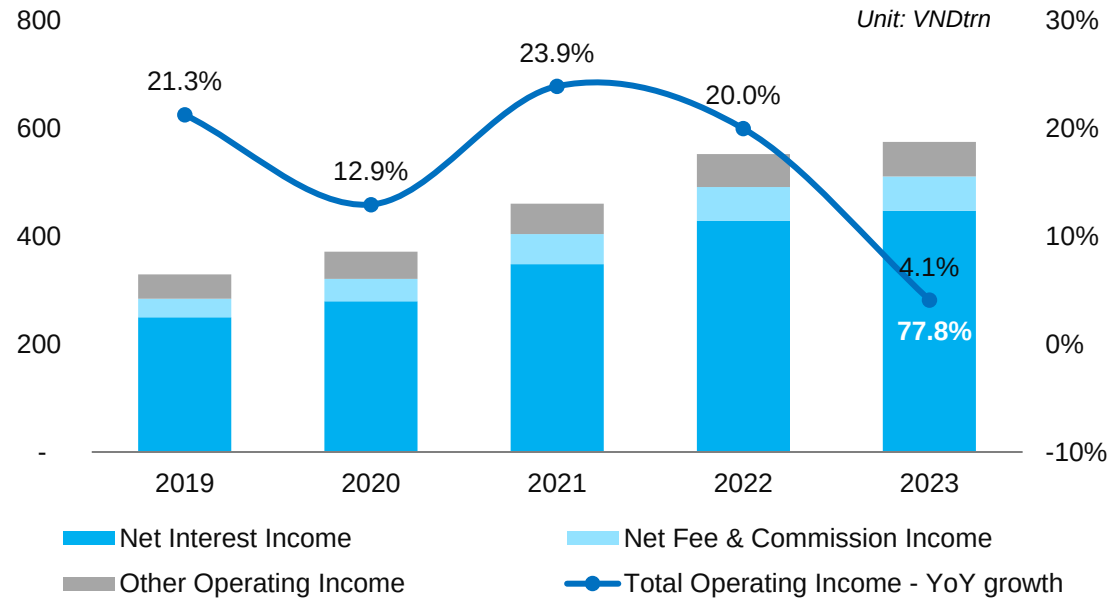
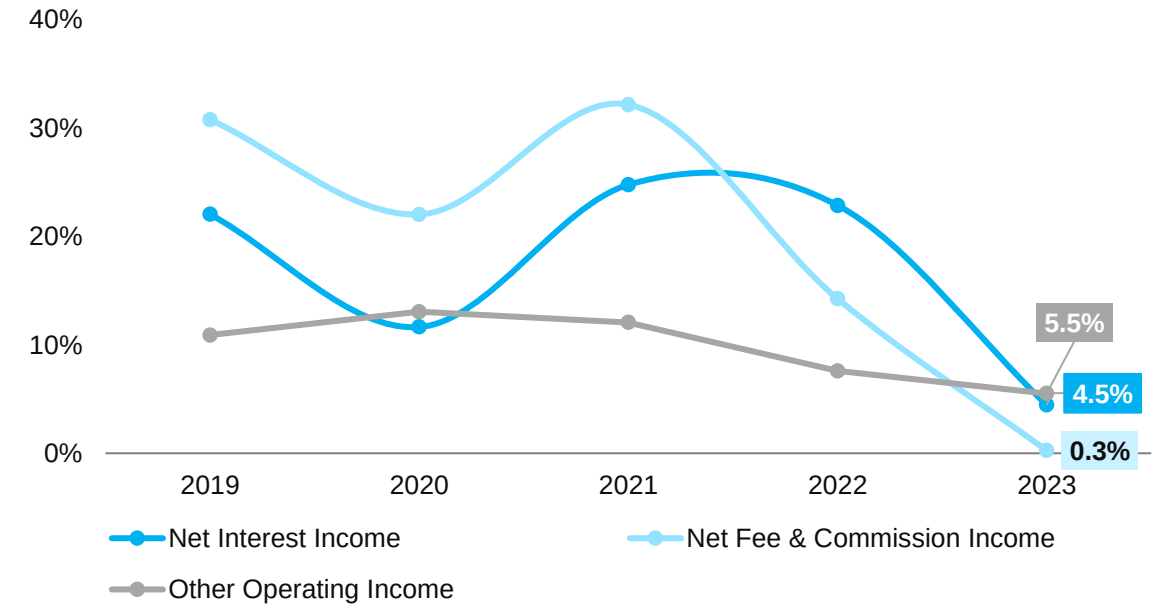


Figure 4: YoY growth of banking system breakdown by source of income



Source: FiinGroup from bank's financial statements and investor's presentation

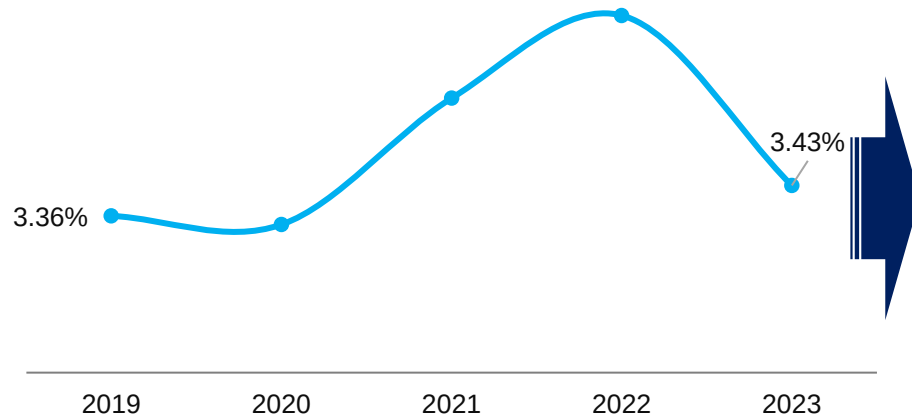
Note: Figure of banking sector was calculated using data of 27 banks that represent 72.8% systemwide credit outstanding

- Nearly 80% of banks' earnings remained reliant on credit, hence along with the slow credit growth trend, banks' total operating income expanded modestly at about 4% compared to 2022. Moreover, the non-interest income segment, particularly service fee income, took a significant hit due to a series of adverse events in the insurance market, causing a decline in bancassurance revenue for many banks.

Earnings quality | Interest income

Lower funding cost is seen as a key factor supporting the recovery of banks' interest margin after a tough year

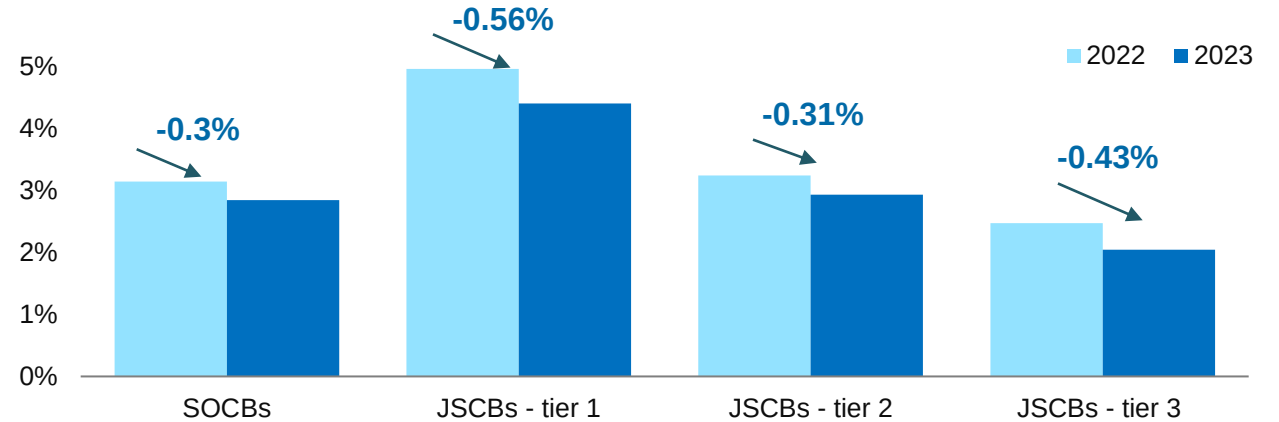
Figure 5: Average NIM of banking system



Note: FiinGroup calculation from bank's financial statements.

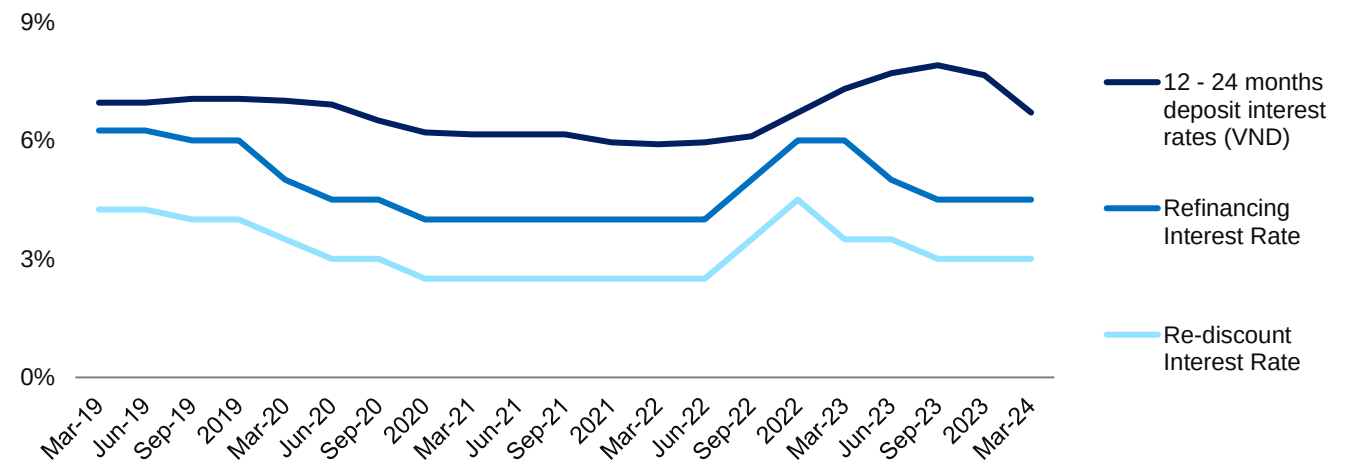
- Despite COVID-challenges, Vietnamese banks have consistently been profitable, recording impressive NIM during the pandemic hit period. However, after peaking at 3.82% in 2022, commercial banks' net interest margin (NIM) fell to just 3.43% in 2023, driven by sluggish growth in interest income and a reduction in CASA deposits.
- In 2024, banks are poised to benefit from a low-interest-rate environment, supported by ample liquidity and the State Bank of Vietnam's accommodative monetary policy in the first half, which helps lower funding costs.

Figure 6: Average NIM of banking system breakdown by group of banks



Source: Figure of **Banking sector** was calculated using data of 28 banks that represent 86% systemwide outstanding credit
Note: **SOCBs** include VCB, BIDV, and CTG // **JSCBs**. Tier 1 banks have a total asset exceeding VND 300trn in 2023.
JSCB - tier 2 : Total assets VND 100-300trn // **JSCBs-tier3**: total assets < VND 100trn

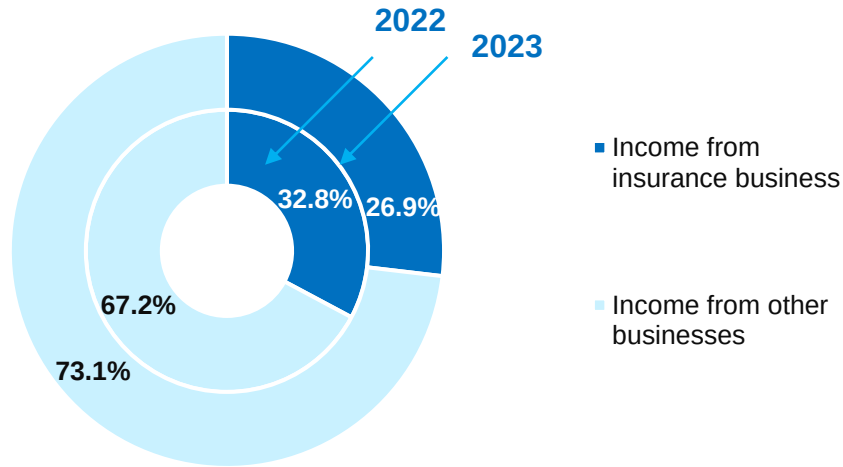
Figure 3: SBV's policy rates and commercial banks' average deposit rate



Earnings quality | Non- interest income

Service fee income stagnated under recent stringent banking insurance policies, prompting banks to revise bancassurance business model

Figure 7: Contribution of insurance business in service fee income

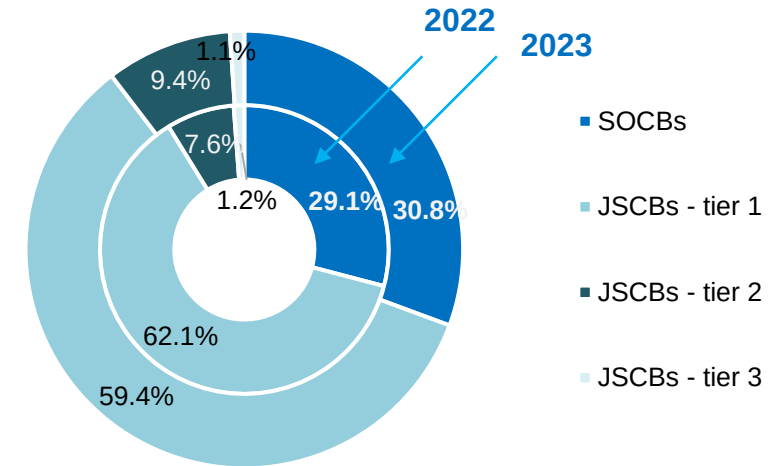


Source: FiinGroup from bank's financial statement and investor presentation

Note:

- ❖ Income from other businesses including income from settlement & treasury service, income from agency service and income from banking services and others
- ❖ Income from insurance business of commercial banks was calculated using data of 16 commercial banks which account for 69% systemwide outstanding credit and 79% systemwide gross service fee income

Figure 8: Service fee income market share among bank groups



Source: FiinGroup calculation from bank's financial statement according to the following groups:

Note:

- ❖ SOCBs include Vietcombank, BIDV & Vietinbank // JSCBs – tier 1 are those with 2023 total asset exceeding VND 300trn
- ❖ JSCB – tier 2 are those with 2023 total asset between VND 100-300trn// JSCBs – tier 3 refer to those with total asset below VND 100trn

- The significant decline in net service fee and commission income can be traced to a drop in bancassurance income, which fell from 32.8% in 2022 to 26.9% in the first half of 2023. The insurance advisory scandal in the second quarter of 2023 had a detrimental impact on the insurance industry, including the bancassurance operations of banks.
- The new Law of Credit Institutions 2024, effective July 1, 2024, prohibits credit institutions from tying the sale of non-compulsory insurance products to banking products and services. This new legislation will pose additional challenges for banks operating in the bancassurance space. Given this scenario, net service fee and commission income for the banking sector is expected to continue declining, leading banks to reevaluate their strategies for generating service fee income, such as by enhancing their settlement, treasury, or brokerage services.

Asset quality

NPL formation rates remained very high, signaling the further deterioration of banks' asset quality

- In 2023, many commercial banks experienced a rise in non-performing loans (NPLs) as borrowers' ability to repay diminished due to economic challenges. On-balance-sheet NPLs largely associated with much to real estate loans.
- NPL formation remained high and have not reached the peak, worsening loan loss coverage among banks, calling for the extension of Cir 02

Figure 9: NPL ratio of credit institutions

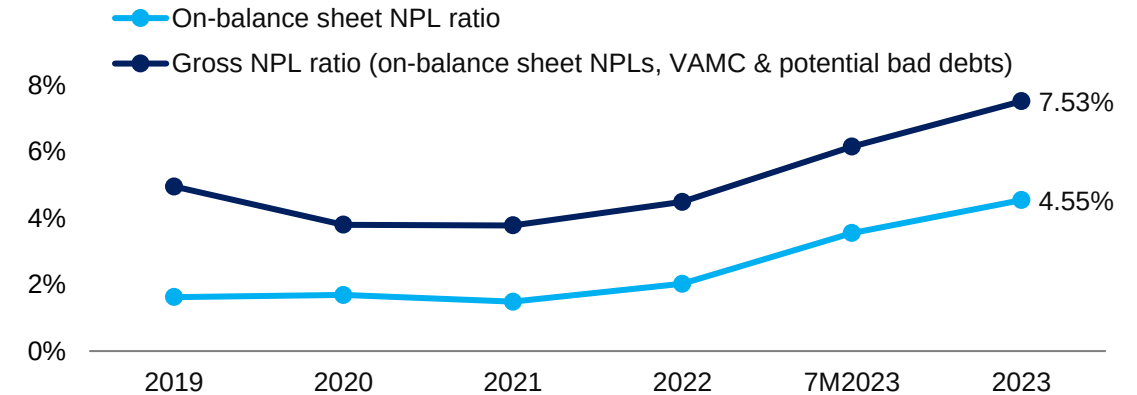
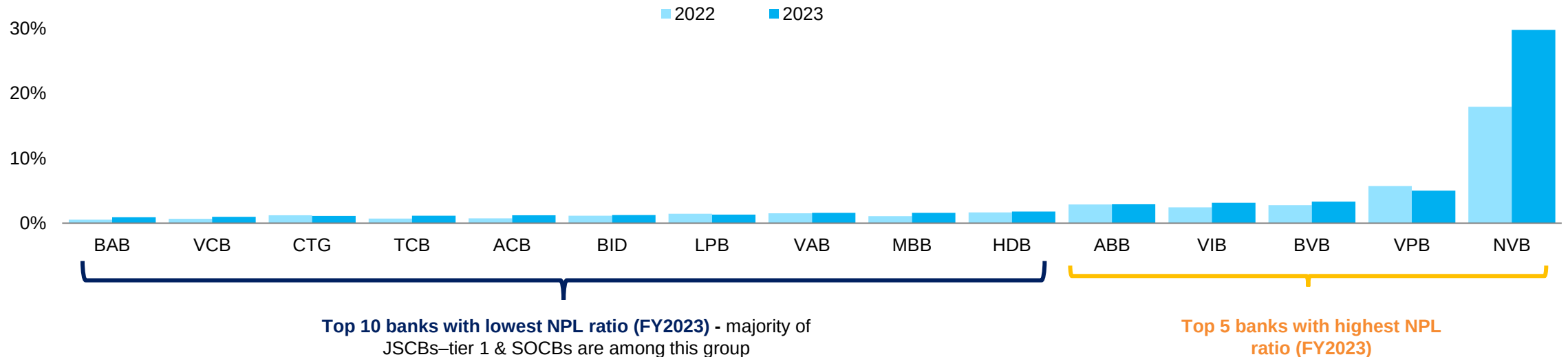


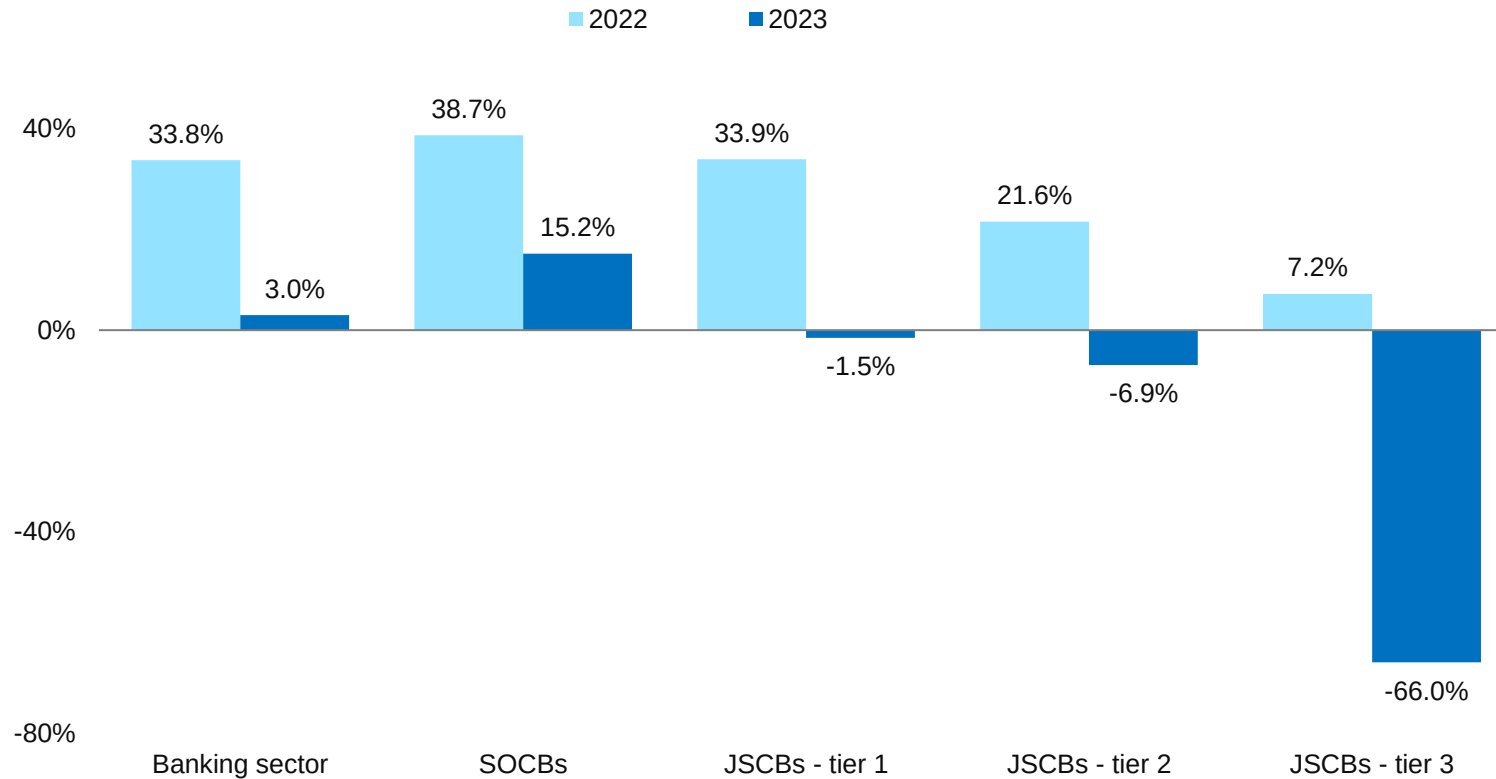
Figure 10: On balance sheet NPL ratio of commercial banks



Source: FiinGroup from SBV, bank's financial statement

Weakened earnings combined with higher provision burden weigh on the banking sector's profitability in 2023

Figure 11: Net profit after tax YoY growth of banking sector and breakdown by group of banks



- In 2023, banks witnessed a notable slowdown in net profit growth, reaching only 3.6% YoY, primarily attributed to a reduction in NIM & heightened provisions for loan losses stemming from an increase in non-performing loans.
- State-owned commercial banks (SOCBs) were the only group to record positive year-over-year profit growth. Vietcombank, BIDV, and Vietinbank ranked among the top 10 banks for Net Profit After Tax (NPAT), owing to their healthier loan portfolios, hence lower loan loss provisions.
- In contrast, joint-stock commercial banks (JSCBs) experienced a significant decline, with profits dropping by 66% year-over-year. Despite higher credit growth, these banks faced a heavier provisioning burden and lower non-credit income, mainly from bancassurance.
- Looking forward, banks anticipate boosting profitability by leveraging the rebound in credit income, while also working to improve collections and revising their fee income strategies

Source: FiinGroup calculation from bank's financial statement according to the following groups:

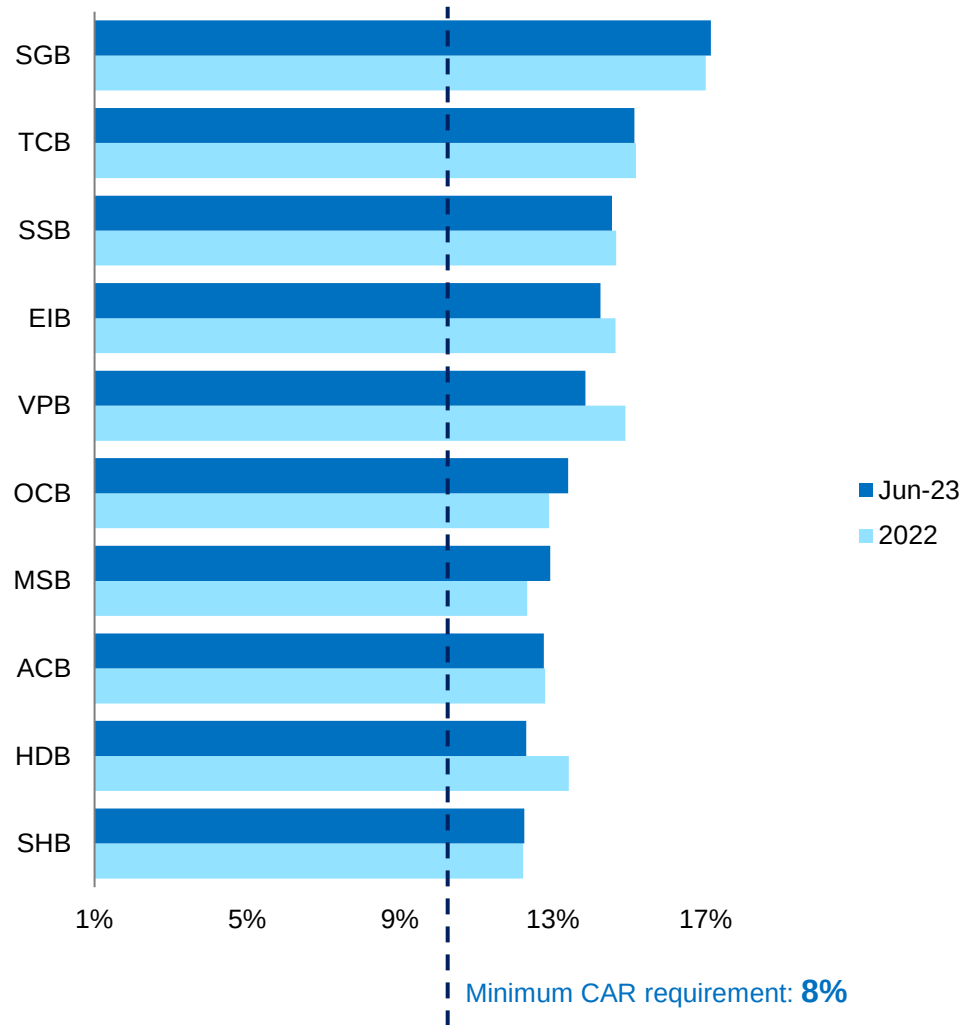
Figure of Banking sector was calculated using data of 27 banks that represent 72.8% systemwide outstanding credit // SOCBs include VCB, BIDV & CTG // JSCBs – tier 1 are those with 2023 total asset exceeding VND 300trn.

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Capital Adequacy Ratio of Vietnam Banks

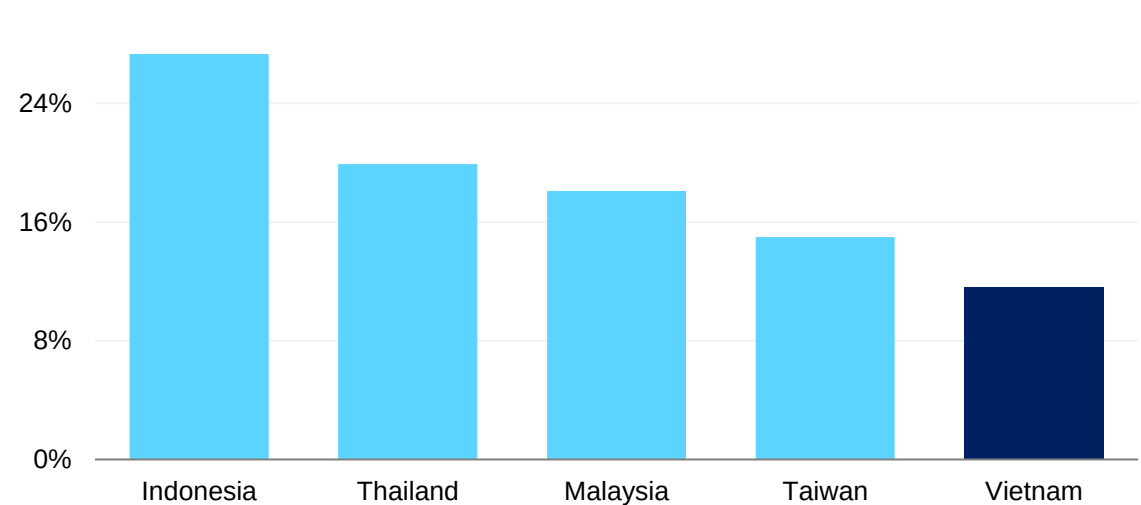
Amid challenging environment, Vietnamese banks strive to boost CAR for enhanced capital resilience

Figure 12: Top 10 commercial banks with highest CAR as of June 2023



- While the capital adequacy ratio (CAR) dropped for most banks from 2022 to June 2023 due to declining asset quality, Vietnamese banks have maintained their CARs above Basel II's minimum requirements.
- Both tier 1 and tier 2 joint-stock commercial banks (JSCBs) have proactively bolstered their CAR to tackle economic challenges and ensure adequate capital reserves for lending. In contrast, state-owned commercial banks (SOCBs) have lower CARs, with Vietinbank and BIDV reporting some of the lowest ratios in the banking sector, both at 8.9%. However, SOCBs are expected to improve as some have worked on increasing charter capital throughout 2023.
- Despite recent efforts to enhance CAR, Vietnamese banks lagged behind regional peers, calling for transformation to meet international standards.

Figure 13: CAR of Vietnam banks versus Selected Countries (Sep-2023)



Note: FiinGroup from SBV, CEIC Data, bank's financial statement

Vietnam banking sector outlook for 2024

Banking Sector in 2024: Navigating a Blend of Challenges and Opportunities

Banks are set to benefit from an expansionary monetary policy, recovering credit demand, and loan forbearance measures

- Credit growth is expected to improve in 2H2024, driven by increased credit demand from exporting manufacturing sectors and increased domestic consumption.
- SBV introduced one-time credit growth quotas for commercial banks at the start of 2024, creating favourable conditions for banks to implement lending initiatives to boost disbursement.
- Loan forbearance policies under Circular 02 have been extended through the end of 2024, making it easier for customers to access credit.
- SBV's expansionary monetary policy keeps interest rates low, boosting credit demand. This environment gives banks a chance to improve their net interest margin (NIM) in 2024, thanks to reduced funding costs.

Nevertheless, the decline in system-wide asset quality persists into 2024, raising serious concerns for the banking sector

- NPL ratio remained high and have not reached the peak, urging SBV to extend loan forbearance policy to support customers.
- As asset quality recovers slowly, banks will continue to face increased pressure, which could negatively affect profitability.
- Uncertainties remain as monetary policies could shift in the second half of 2024 due to inflationary pressures, potentially raising funding costs and affecting banks' net interest margins in late quarter of 2024 and 2025.
- Net service fee and commission income may face challenges, mainly due to issues with insurance operations following the new Law of Credit Institutions' enactment in July 2024. This could lead banks to restructure their non-credit services to boost revenue



How can we assist potential investors in unlocking the potential of the Vietnam banking market?



About FiinGroup | Service Offerings

FiinGroup is the leading provider of financial data, business information, market research and consulting, credit rating, and other data-driven analytics services via Platform as a Service (PaaS), annual package, and on-call services in Vietnam



Service Offerings | Market Research & Consulting

1 Industry Report

On-the-shelf industry reports providing clients with comprehensive information and in-depth analysis about market size, historical and forecasted growth, market share, market segmentation, competitive landscape, regulatory and policy framework, key growth drivers and key development trends, key player in-depth analysis to help assess the market's attractiveness and growth potentials.

2 Customized Market Research

Customized market study upon specific requirements by clients in addition to value-added services including investment target sourcing, company visits, and/or business matching.

3 Commercial Due Diligence

In-depth analysis of target company's market environment, competitive landscaping, its business attractiveness, and market positioning in M&A transaction. Thorough assessments of business risks and their impacts on the target's assumptions and business plans

4 Market Entry Advisory

Support of investors and/or entrepreneurs to explore investment or trading opportunities and develop optimal market entry strategies (i.e. M&A, Joint Venture, Minority Equity Investments, Foreign Direct Investments, Trading or any other partnership structure with local partners) with actionable recommendations for all stages in their business journey in Vietnam.

5 Merger Filing Support

Comprehensive merger filing support services to clients throughout a merger process, focusing on economic concentration and anti-competitive effect assessment.

Main Clients:

- Foreign and local corporate clients
- Institutional investors
- Financial Institutions

Usage:

- Market potential assessment
- Business intelligence review
- Investment target screening
- Trade connection/Business Matching



Market Research & Consulting / Track records in Banking sector



Client's request

- Vietnam's Financial Sector Stability and Improving Financial Sector Surveillance

Name of service

- In-depth Market Assessment

FiinGroup's deliverables

- ✓ In-depth analysis of important changes and key developments in Vietnam Financial Sector (including updates on macroeconomics, analysis of the banking sector and non-bank sectors, such as capital market, monetary market, insurance market, consumer finance, etc.)
- ✓ Support for data requests on specific sectors in the interest of the World Bank such as for delegate mission visits, up to three sectors, and write-up on two analytical themes

Year of Completion

- ✓ FiinGroup has been supporting The World Bank with this assignment from 2013 to present.



Client's request

- Market study on Vietnam Digital bank

Name of service

- Target Screening & Deal Sourcing
- In-depth Market Assessment

FiinGroup's deliverables

- ✓ In-depth analysis of Digital Banks in Vietnam including market situation and growth potential
- ✓ In-depth analysis of 3 selected leading Digital Banks, including company profile: key financial highlights and analysis; products development and operational analysis.
- ✓ In-depth analysis of 3 segments incl. E-trading platforms, Investment Platforms and Comparison Platforms in Vietnam:
 - Review of business models, growth potentials and constraints
 - Full list of investment platforms operating in Vietnam; Analysis on Case study of selected failure start-ups in Vietnam

Result

- ✓ Client successfully acquired stake in a leading investment platform in Vietnam.

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Client's request

- Market study and consulting project on expansion of consumer finance business, cash loan segment in Vietnam

Name of service

- Customized Market Research

FiinGroup's deliverables

- ✓ Monthly updates on Vietnam macroeconomic situation, financial service sectors and related regulations/policies, including monthly and quarterly review on Insurance market in terms of market size, gross written premium, market share of key players, product development, marketing and promotion and recent M&A activities.
- ✓ Key trends on financial services sectors (Insurance; Banking; Auto Loan, monetary and capital market, fintech etc..)
- ✓ Competitive dynamic watch on Auto Loan market (marketing campaign, new product launching, key trends & insights etc..)

Result

- ✓ With FiinGroup's deliverables, the Client provided intensive support Korean financial institutions to monitor Vietnam financial sectors.



Service Offerings | Market Research & Consulting

FiinGroup has been a trusted partner to various foreign investors, supporting them from the outset in entering and expanding across key sectors in Vietnam

Service Offerings & Sector Coverage



Service Offerings

- Industry Report
- Customized Market Research
- Commercial Due Diligence
- Market Entry Advisory
- Merger Filling Support

A selection of sectors we cover:

Financial Services Banking - Consumer Finance - Payment Services - Leasing - Insurance	Construction & Construction Materials - Cement - Additives and Concrete - Admixtures - Steel & Other Metals - Construction
Food & Beverages - Food Processing - Food Services - Beverage	Healthcare - Hospital and Clinics - Medical Equipment - Pharmaceuticals
Utilities - Water Supply - Energy	Industrial Goods - Waste Treatment & Recycling - Flexible Packaging
Consumer Retail - ICT Retail - Fashion Retail - Convenience Store - Health & Beauty Store	Logistics - Warehouse (incl. cold chain logistics) - Port Operation
	Information & Communication Technologies
	Automobiles & Auto-Parts

Client Portfolio

Japanese



Korean



Local



International





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